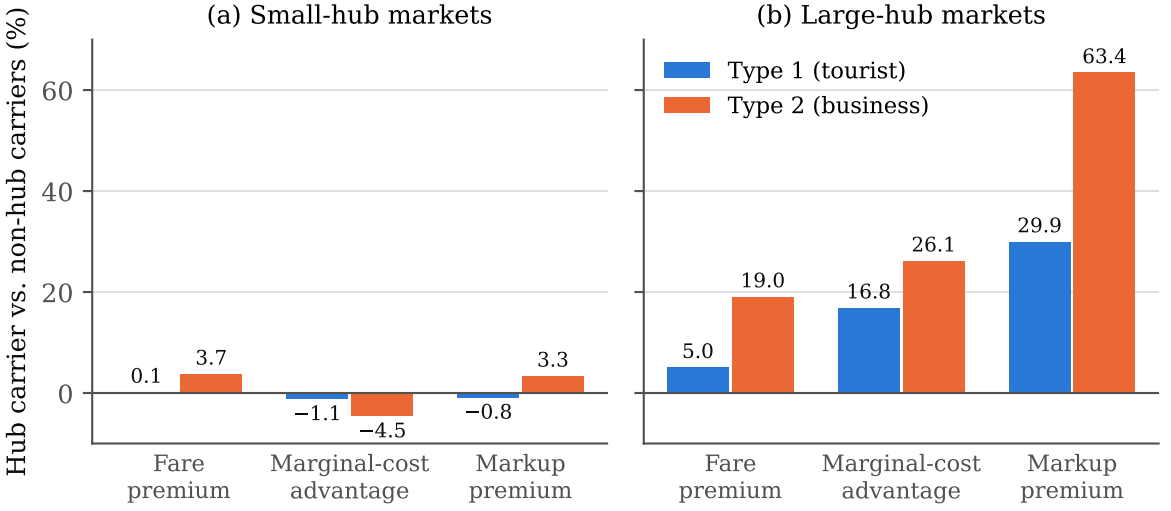
(a) Small-hub markets
(b) Large-hub markets
Hub carrier vs. non-hub carriers (%)
Type 1 (tourist)
Type 2 (business)
60
40
20
0
0.1
3.7
−1.1
−4.5
−0.8
3.3
5.0
19.0
16.8
26.1
29.9
63.4
Fare premium
Marginal-cost advantage
Markup premium
Fare premium
Marginal-cost advantage
Markup premium